

Chapter Review

7-8b Key Terms

bank reconciliation (The analysis that details the items responsible for the difference between the cash balance reported on the bank statement and the balance of the cash account in the ledger.)

bank statement (A summary of all checking account transactions mailed to the depositor or made available online by the bank each month.)

cash (Coins, currency (paper money), checks, money orders, and money on deposit that is available for unrestricted withdrawal from banks and other financial institutions.)

cash equivalents (Highly liquid investments that are usually reported with cash on the balance sheet.)

cash short and over account (An account in which are recorded errors in cash sales or errors in making change causing the amount of actual cash on hand to differ from the beginning amount of cash plus the cash sales for the day.)

compensating balance (A minimum cash balance required by some banks to be maintained in a bank account.)

control environment (The overall attitude of management and employees about the importance of controls.)

days' cash on hand (A measure of how long a company could survive if its sources of revenue were to decline significantly, computed as cash and short-term investments divided by daily cash operating expenses.)

electronic funds transfer (EFT) (A system in which computers rather than paper (money, checks, etc.) are used to effect cash transactions.)

elements of internal control (The elements that together sustain internal control and include the control environment, risk assessment, control activities, information and communication, and monitoring.)

employee fraud (The intentional act of deceiving an employer for personal gain.)

internal control (The policies and procedures used to safeguard assets, ensure accurate business information, and ensure compliance with laws and regulations.)

petty cash fund (A special cash fund to pay relatively small amounts.)

Sarbanes-Oxley Act

special-purpose funds (Cash funds used for a special business need.)

voucher (Any document that serves as proof of authority to pay cash or issue an electronic funds transfer, but for many businesses, is a special form used to record data about a liability and the details of its payment.)

voucher system (A set of procedures that uses vouchers for authorizing and recording liabilities and cash payments.)

